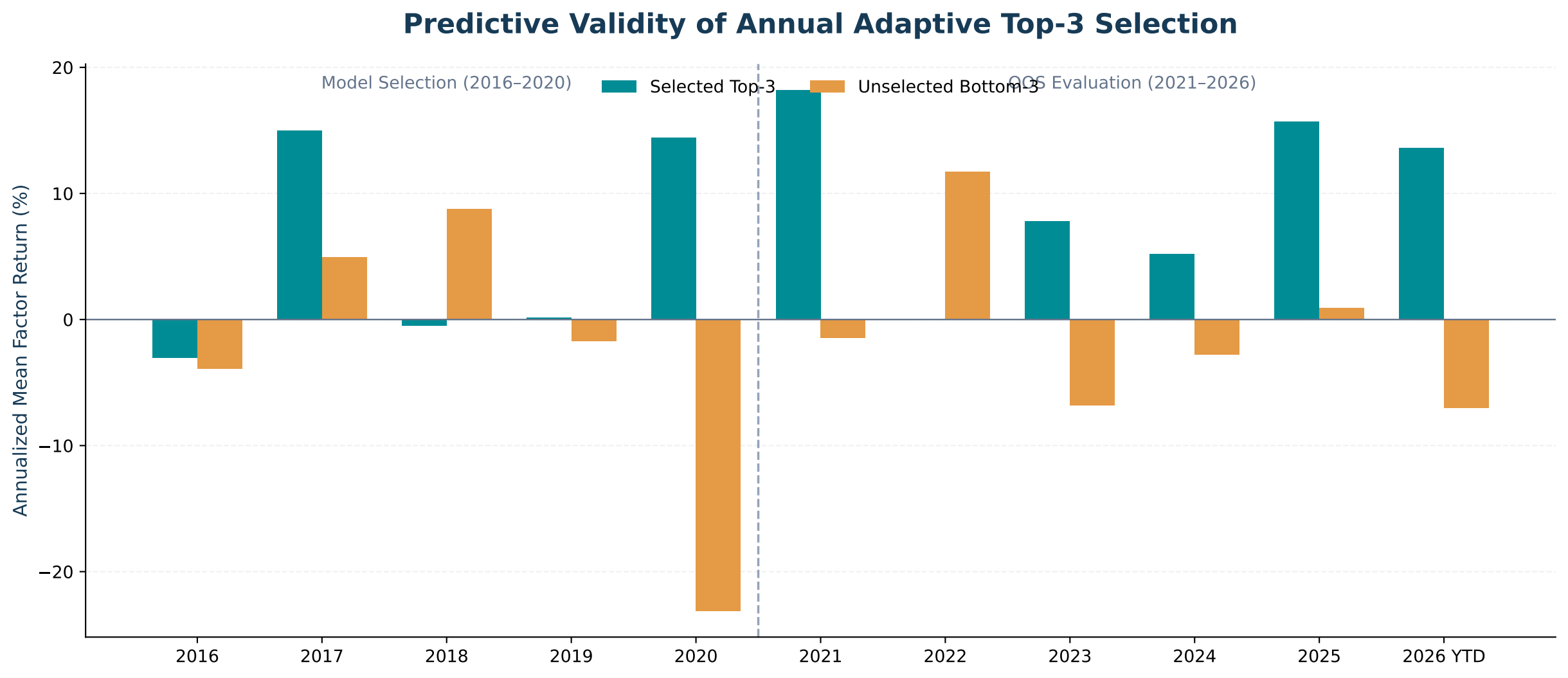
Predictive Validity of Annual Adaptive Top-3 Selection
Model Selection (2016–2020)
Selected Top-3
Unselected Bottom-3
OOS Evaluation (2021–2026)
Annualized Mean Factor Return (%)
20
10
0
−10
−20
2016
2017
2018
2019
2020
2021
2022
2023
2024
2025
2026 YTD